

Did KKR overpay for Spectris?

KKR bought Spectris, a UK maker of precision measurement instruments, for £41.75 a share after a two-month bidding war with Advent. I rebuilt the deal from public filings with a three-statement model, LBO, DCF and trading comps.

ENTERPRISE VALUE	EV / 2024 EBITDA	PREMIUM	NET DEBT / EBITDA	BASE-CASE IRR	MOIC
£4.84bn	20.3x	104.9%	5.1x	11.5%	1.72x

Answer: on my base case KKR earns about 11.5% a year (1.72x) over five years, short of a typical ~20% target. Reaching 20% needs a 24.4x exit multiple or about 39% more 2030 EBITDA than my plan. The price only works if Spectris is valued like a US instrument company.

EXHIBIT 1 · ENTERPRISE VALUE BY METHOD VS THE OFFERS

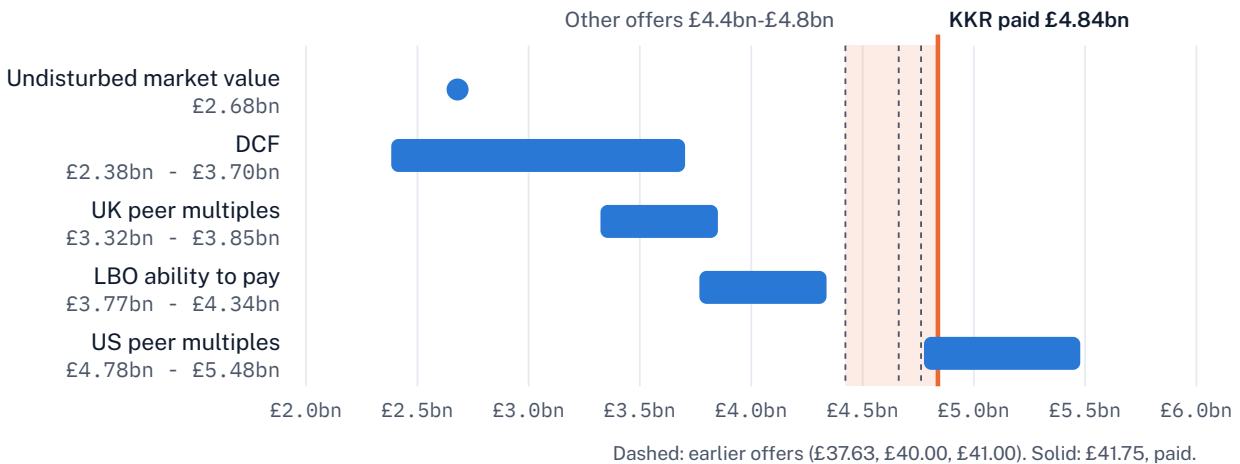


EXHIBIT 2 · WHERE THE EQUITY GAIN COMES FROM

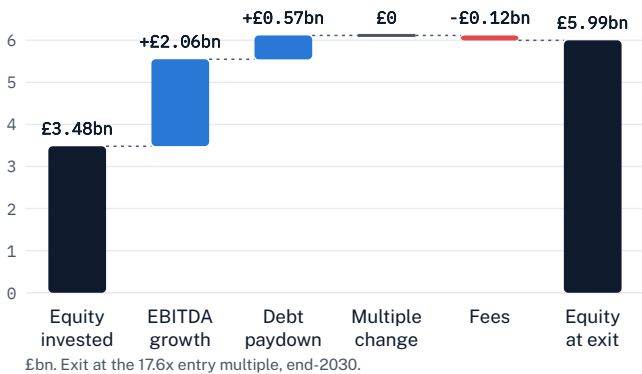


EXHIBIT 3 · IRR BY PRICE PAID AND EXIT MULTIPLE

PRICE PAID	15.0X	17.6X	20.0X	22.0X	24.0X
Advent first offer (£37.63)	10.2%	14.4%	17.8%	20.3%	22.7%
KKR first offer (£40.00)	8.6%	12.7%	16.0%	18.5%	20.8%
Advent final offer (£41.00)	7.9%	12.0%	15.3%	17.8%	20.1%
KKR final offer (paid) (£41.75)	7.4%	11.5%	14.8%	17.3%	19.6%

BASE CASE

- Revenue +5% a year; adjusted EBIT margin 17.1% in 2025E (consensus profit) to 19.5% as £50m+ of announced savings land
- £1.5bn term loan at 6.5%; equity £3.48bn (70% of funding); exit end-2030 at the 17.6x entry multiple

TAKEAWAYS

- A US price for a UK company.** 20.3x vs 11.2x pre-bid, UK peers 15.8x, US peers 22.6x.
- An operations bet.** 78% of value creation comes from EBITDA growth; low leverage means little help from debt paydown.
- The bidding war cost ~3 points of IRR.** £37.63 to £41.75 added £416m; IRR 14.4% to 11.5%.

LIMITATIONS

- Projections are mine; KKR's plan is private. Loan rate estimated.
- Diluted shares (101.0m) derived: the only count that reproduces all six published multiples.
- Simplified balance sheet; peer multiples are indicative ranges.
- My equity estimate is 5% below the £3.65bn implied by KKR's syndication filing.